

CHAPTER FIVE

From the Sixteenth-Century Controversies to Modern Usury

ALTHOUGH the period from the Council of Nicaea to the sixteenth century is filled with theological, philosophical, and legal debates about usury (often heated), a fundamental agreement of principle existed throughout the Church and all civil governments of Western Europe. As Glyn Davies remarks, "From ancient times right through to early Modern Britain, usury was frowned upon, both by the Church and by the state."¹ The main source of disagreement in this period regarded merely "the boundaries of their respective areas of control."² How did Western law become transformed from the near universal agreement on the underlying principles of the usury doctrine prior to the sixteenth century into the modern approach of laissez-faire acceptance of virtually all usury? This chapter will argue that the usury laws of the twenty-first century have their origin in the introduction of new ideas into the application of the traditional usury doctrine to the new economic realities of the sixteenth century. The first part of this chapter examines the mid-sixteenth century as the line of demarcation between the traditional doctrine and these new developments. In 1545, England adopted a novel but short-lived usury act that marked a change from the transaction classification and prescription of the traditional doctrine, and in 1571 England readopted a variation of

¹ Glyn Davies, *History of Money from Ancient Times to the Present Days* (Cardiff: University of Wales Press, 2002), 218.

² *Ibid.*

the 1545 statute.³ This part of the chapter will show that with acceptance of several rationales for effectively legalizing new forms of profit-seeking loans, the course ending in our existing usury law and theory had been charted. To contemporaries, the revolutionary character of the change might have been hard to detect. The 1545 Act legalizing profit on loans was entitled an Act against Usury even though its effects were to legitimize profits, albeit limited, which had been prohibited for over a thousand years. Thus, although its revolutionary character would only become apparent in its extension and conclusion centuries later, the new approach contained the seed for dramatic change by abandoning the distinctions discussed in chapters 3 and 4 in favor of a legalization of a maximum charge regardless of the context. As Professor Lipson remarks, "The legal toleration of interest marked a revolutionary change in public opinion and gave a clear indication of the divorce of ethics from economics."⁴

The second part of this chapter will examine the ramifications both for the Church and the civil law (particularly in America) of the results of the sixteenth-century debates. We will examine the definitive reaffirmation of traditional usury doctrine in the encyclical *Vix Peruenit* as well as the prudent circumspection developed in the nineteenth century with respect to particular cases. In contrast we will see how American commercial law abandoned virtually all legal restraints on usury.

New Economic Realities—New Theory or New Application?

What occasioned the debates of the sixteenth century? A dramatic change in economic circumstances created a need to apply the existing usury doc-

trine to radically new facts. The economic environment to which usury principles were being applied was changing dramatically in the sixteenth century.⁵ Prior to this century, the demand for and uses of capital were so limited that it was reasonable to make a general assumption that one acquiring the use of money needed it for consumption, not production.⁶ The increased demand in the sixteenth century for investment in business ventures was due in part to the geographic rediscoveries⁷ of America and the Far East and the resulting high-risk trading and colonization ventures.⁸ As the demand for, and supply of (owing to the discoveries of gold in the New World), resources to invest in commercial activity increased, requests for different forms of investing rose. Importantly for usury theory, requests for tailoring the sharing of profits and risks of the underlying business ventures grew.⁹ New economic demands can create the need for new forms of transacting or the adaptation of existing ones. The two major focal points of the sixteenth-century debate were over the acceptance of the alterations of the *societas* into a "five percent" or triple contract (*contractus trinitas*) and the expansion of the *census* into the personal redeemable *census*.¹⁰ Sixteenth-century thinkers faced a greater demand to penetrate the details of these commercial transactions than their predecessors, since, prior to the sixteenth century, most loans (or similar transactions) were made for consumptive, not business, purposes.¹¹ For our purposes what is important about these debates is not the result (eventually a widespread consensus

³ *The Acte Againste Usurie* (1545), 37 Hen. VIII, c. 9 (Eng.), effectively permitted usury (called compensation for loss) at a rate limited to 10%. In 1552, *A Byll Againste Usurie*, 5 and 6 Edw. VI, c. 20, repealed this statute. In 1571, a new *Acte Againste Usurie*, 13 Eliz. I, c. 8, made perpetual by 39 Eliz. I, c. 18, made a loan with charges above 10% void and prescribed damages of triple the principal. Loans charging less than 10% were technically also prohibited, but the lesser penalties and methods of enforcement effectively permitted them. See Norman Jones, *God and the Moneylenders: Usury and Law in Early Modern England* (Oxford: Blackwell, 1989), 18; Alfred W. B. Simpson, *A History of the Common Law of Contract: The Rise of the Action of Assumpsit* (Oxford: Oxford University Press, 1975), 513–14.

⁴ E. Lipson, *The Economic History of England*, 6th ed., vol. 2 (London: A. and C. Black, 1956), xx–xxi.

⁵ "Europe was undergoing a commercial revolution in many ways no less far-reaching in economic consequences than the Industrial Revolution of the late eighteenth and nineteenth centuries." John T. Noonan Jr., *The Scholastic Analysis of Usury* (Cambridge: Harvard University Press, 1957), 199.

⁶ See "Usury and the Canon Law," *Dublin Review* (Winter 1874), 72–73.

⁷ Much evidence—the legend of St. Brendan, archeological work in Europe and America, the history of the Vikings, etc.—suggests the "new" world had merely been forgotten rather than never known.

⁸ See Benjamin S. Horack, "A Survey of the General Usury Laws," *Law and Contemporary Problems* 8 (1941): 37; Sidney Homer and Richard Sylla, *History of Interest Rates*, 4th ed. (Piscataway: Rutgers University Press, 2005), 109–10.

⁹ See Noonan, *Scholastic Analysis of Usury*, 199; Homer and Sylla, *History of Interest Rates*, 109–10.

¹⁰ See Jones, *God and the Moneylenders*, 11–13; Noonan, *Scholastic Analysis of Usury*, 202–48.

¹¹ See Edwin S. Hunt and James M. Murray, *A History of Business in Medieval Europe 1200–1550* (Cambridge: Cambridge University Press, 1999), 71.

emerged permitting most forms of these transactions) but the arguments for acceptance. This chapter will show how some of the ideas used to justify these new forms eventually reduced usury doctrine to arbitrary price regulation. The debate over these two forms of transactions encompassed many approaches but can be generalized into two categories, which Norman Jones summarizes thus:

[T]he objectivist, Aquinian position enshrined in the law [i.e., existing prior to the debates], continued to define usury as the lending of anything with a guaranteed return of more than the value of the loan. Although the members of this school admitted certain exceptions [e.g., *damnum emergens*], they viewed usury as an act committed under a distinct set of external conditions. . . . [T]he subjectivist nominalist position accepted the definition of usury propounded by the Aquinians but refused to accept any external, objective measurements of the crime. Insisting that it was evil intent that made lending at interest a sin, they recognized that there were innocent and legitimate occasions for lending at interest.¹²

For ease of reference, we will refer to these two positions as the “objectivist” and “subjectivist” approaches. These categories refer to types of argument, not individuals advancing them. Individual jurists, legislators, or philosophers do not necessarily fall into one or the other category. It is often, perhaps even more, common to find a combination of objectivist and subjectivist arguments being employed by the same person or school.¹³ An analysis of the subjectivist arguments will show a fundamental change in understanding the nature and essence of usury that resulted in modern legal and philosophical theories of usury.

¹² Jones, *God and the Moneylenders*, 19.

¹³ Likewise, initially the debates did not easily bifurcate along Catholic-Protestant lines. See Benjamin N. Nelson, *The Idea of Usury: From Tribal Brotherhood to Universal Otherhood* (Princeton: Princeton University Press, 1949), 29–73 (documenting the wide variety of understandings of usury among the early Protestant leaders); Noonan, *Scholastic Analysis of Usury*, 199–248 (surveying the various Catholic analyses of the triple contract and mutually redeemable *census*); William James Ashley, *An Introduction to English Economic History and Theory* (London: Longmans Green, 1906), 456–57 (describing Martin Luther’s vacillations in opinion on usury, which at times was more conservative than Catholic theologians). The divide between Protestant and Catholic positions over usury did not develop until later.

The difficult debate over the new form of *census* also occasioned a reexamination of the Roman law concept of interest. This part of the chapter will show how this reexamination eventually led to recognition that the new and riskier economic activity gave rise to more legitimately compensable losses under the titles of *damnum emergens* and *lucrum cessans*.

Objectivist and Subjectivist Arguments over the Triple Contract

As we have seen in chapter 4, the triple contract (*contractus trinitas*), or as it was more commonly known in Germany, the “five percent contract,” involved the addition of two significant features to the accepted *societas*.¹⁴ The triple contract contained two agreements beyond the original partnership contract, the exchange of an unlimited percentage share of profit for a fixed return and the insuring of a partner’s original investment.¹⁵ Those employing the objectivist approach and the subjectivist approach eventually accepted the triple contract but for very different reasons.

The objectivist approach grappled with the question of whether these features changed the *societas* so much as to transform it from an acceptable form of economic activity into usurious lending. Those who argued in favor of the triple contract from an objectivist approach concluded that each part of the triple contract was individually legitimately distinguishable from usury (the simple *societas*, the exchange of the unlimited share of profits for a fixed return, and the insurance of this fixed return and the initial capital by the other partner in exchange for a reduction in return).¹⁶ This contractual alteration of the classical *societas* is accomplished using the accepted principle of *societas*: the partners are free to allocate future profits from the *societas* as they choose, so long as they do not create a *societas leonina*, a partnership where one partner receives all losses and no profits. Even though one partner agreed to assume the loss of his partner’s investment and granted his partner a preferred payment of future profit, this partner is not left with only loss and no possibility of gain; in fact his percentage of gain has increased by the amount accepted in exchange for the fixed return. The required business purpose of a *societas* assisted in distinguishing the

¹⁴ See Hunt and Murray, *History of Business*, 243.

¹⁵ See *Ibid.*; Noonan, *Scholastic Analysis of Usury*, 209.

¹⁶ See Jones, *God and the Moneylenders*, 11.

transaction from a *mutuum*.¹⁷ Finally, even though one partner “guaranteed” a return to the other partner, the risk of ownership still existed, as *socii* were liable for the acts of the *societas* (although there was some debate as to whether they were jointly and severally or only pro rata liable).¹⁸ Since a *societas* was distinguishable from a usurious loan and since insurance (the sale of the risk of an uncertain result for a fixed price) was universally accepted as an otherwise acceptable sale subject only to the just price doctrine,¹⁹ their combination, it was argued, was permissible. The risk inherent in speculative business ventures was sufficient evidence, as had previously been concluded, of retention of ownership of the capital invested, and retention of ownership (at least joint) distinguished the *societas* from the *mutuum*.²⁰ The purchase of insurance against this risk does not defeat the indices of ownership, since the desire to purchase insurance indicates rather than disproves the presence of business risk.²¹ Further, the entitlement to profit from a partnership arises from the use of capital in a business with a prospect of making a profit.²²

Although those following the subjectivist approach, especially those influenced by nominalism,²³ criticized the objectivist approach (and even those who concluded the triple contract was licit) as paying excessive

attention to the form of the transaction,²⁴ the debate²⁵ was not a discussion of form for form's sake. Rather, those advancing an objectivist approach were attempting to discern if the change in form of the *societas* altered the substance of the transaction enough to change it from an actual partnership into a disguised loan. Those on the ultimately prevailing side still found within the form evidence of ownership (although the risk giving rise to this was insured against) and the fructifying of productive assets giving rise to the right to profits. Thus, the fundamental theoretical framework of the usury theory was essentially intact and merely applied to a new, more complicated factual context.

Those employing an objectivist approach placed a significant limit on their acceptance of the triple contract. As the name “five percent contract” implies, many of the advocates of its legality discussed the amount of the fixed guaranteed partnership return. Five percent was not a fixed legislated maximum. The requirement was that the exchange of risk for a fixed return involved a sale, not a loan, and was thus governed by the just price doctrine, not the usury doctrine (i.e., that the exchange of the fluctuating future return of a partnership interest and return of original investment for a fixed profit must be a just exchange).²⁶ Five percent was discussed as an amount under the circumstances then existing that appeared within the range of the common estimation of the just price of such a contract.²⁷ The discussion did not utilize the principles of usury doctrine: was 5% in excess of compensation for loss and thus in excess of legal interest? Rather it was rooted in the work of just price doctrine's requirement to evaluate the price in light of the common estimation. Although many spoke of the triple contract as the five percent contract and in many areas this became the customary price, the theory of the objectivist approach was not tied to the acceptance of a legal limit to justify the contract. The investment of the capital in a business venture was sufficient to distinguish the transaction

¹⁷ See Ashley, *Introduction to English Economic History*, 447 (noting that merely calling a loan a partnership did not save the transaction from the usury prohibition if the purpose was for consumption and not business).

¹⁸ See Reinhard Zimmermann, *The Law of Obligations: Roman Foundations of the Civilian Tradition* (Cape Town: Juta, 1990), 467–69; Gury, *Compendium Theologiae Moralis* (1858), 7th ed., pars 1, n. 917 (teaching that the condition “ut quis socius subeat onus damnorum et expensarum, quae intuitu societatis adveniunt” [whoever undertakes a burden of losses and expenses is considered part of the partnership] was necessary for a triple contract to be accepted as a true partnership).

¹⁹ “Thus, without any important opposition whatsoever, the insurance of property was accepted by the theologians.” Noonan, *Scholastic Analysis of Usury*, 203.

²⁰ See *ibid.*, 205.

²¹ See *ibid.*

²² See *ibid.*, 205–6; Benedict XIV, *De Synodo Dioecessana*, lib. 10, c. 7, 2 (1755), noting in a description of a licit triple contract that the investing partner must have credible hope (“*probabiliter sperat*”) of making more profit than the agreed fixed return, otherwise he would not be trading anything for the guarantee of the fixed return.

²³ Nominalism is a movement in metaphysics that, in the context used here, rejects the existence of universals. See *The Stanford Encyclopedia of Philosophy*, s.v. “Nominalism in Metaphysics,” accessed November 6, 2012, plato.stanford.edu/entries/nominalism-metaphysics/#Uni.

²⁴ See Jones, *God and the Moneylenders*, 14.

²⁵ Although those holding the triple contract not a usurious loan in substance prevailed in establishing a consensus, there were those who argued even into the eighteenth century that the form of a *societas* was so altered that in substance the triple contract was a loan and thus profit usurious. See Noonan, *Scholastic Analysis of Usury*, 225–28.

²⁶ See *ibid.*, 18.

²⁷ See *ibid.*

from usury without reference to the amount of return agreed. Any concern about the amount of the return on an investment in a partnership was not an issue of interest rate regulation as understood in the twenty-first century but a question of compliance with the just price doctrine. As usury was per se unnatural, no price at a profit above the amount lent was just. The investor in a partnership is evaluated under the same legal approach as the seller of wheat or furniture. A legally acceptable price is dependent upon the common estimation of the value of possible future profit, which in turn is dependent upon economic circumstances at the time and place of the transaction. The law need not fix an exact maximum price.

Eventually, once the three components of the triple contract are individually and then collectively accepted, the end result, which can be summarized as the contribution of capital to a business, is accepted even if the separate components were no longer specifically documented. The components were seen as implicit contracts within the investment of capital with a merchant in any business venture even if not explicitly stated as partnership and insurance contracts.²⁸ Such a result is consistent with the objectivist approach to evaluate the transaction in terms of its economic substance. If in substance the transaction was identical to a *contractus trinitas*, it should be treated as such even if the parties used different legal forms to describe it.

The subjectivist approach, on the other hand, attempted to justify the direct lending of money for a profit in varying circumstances, rather than distinguishing certain transactions from loans, as long as the lender's intention was not malicious. In practice many of those utilizing this approach advocated no more than the same transactions (the triple contract or five percent contract) as those of the objectivist approach; however, they advanced reasons for permitting it, which would shape the future development of usury law. In essence the subjectivists accepted the contract, because 5% profit on a loan was not excessive.

The first difference in approach lies in the emphasis on intention. The so-called Tübingen School advocated that intention distinguished usury from licit investment.²⁹ Instead of focusing on the substance of what was occurring (explicitly or implicitly), the subjectivist approach argued that

²⁸ See *ibid.*, 269–71.

²⁹ See Jones, *God and the Moneylenders*, 11.

what constituted usury was the lending of money with a bad intention.³⁰ Although different thinkers described the bad intent differently (as the intent to do the borrower harm, the lack of charity, the intent to profit illicitly, covetousness),³¹ they agreed that the test of usury was subjective, internalized, and a matter of conscience and not an objective discernment of attributes of different transactions.

This shift has significant implications for usury law: if usury is a matter purely of subjective intention based on the particular circumstances of each borrower and lender, this appears an area less appropriate to legal prohibition and left more to the realm of personal judgment (deregulation) or one only regulated at the extreme where bad intention can be presumed (price capping). Since even those of the subjectivist approach had not yet reached the conclusion of the Utah legislature that all usury law should be abolished,³² they needed to find a way to justify some limitation of usury. This was difficult to do once determination of the presence of usury depended on subjective intention. They preserved the regulation of transactions such as the five percent contract by claiming that the law could (or should) prohibit only excessive or “biting” usury that evidenced a bad intention.³³

Proponents of this proposition argued that only excessive usurious profits, not moderate charges, should be prohibited.³⁴ A high rate of return signified the presence of a bad intention, and thus, logically, the limitation of a rate would capture the wrongly intended transactions. Five percent (or in the English usury statute of 1571, 10%)³⁵ became a fixed point of demarcation in usury analysis; a higher rate indicated bad intention and

³⁰ “The only way to derail the Aquinian definition of usury was to change it by making it a crime of intent, rather than a factual contractual matter.” *Ibid.*

³¹ See *ibid.*, 11, 14, 19, 32.

³² See chapter 3.

³³ See Jones, *God and the Moneylenders*, 21–22.

³⁴ See Jarret C. Oeltjen, “Usury: Utilitarian or Useless?” *Florida State University Law Review* 3 (1975): 174.

³⁵ In fact, those advocating the complete permissibility of lending at a rate of less than 10% were unable to attain a complete victory at this stage, and the statute actually outlawed a charge at any rate but crafted remedies that would effectively allow the charging of under 10% to go unpunished. See Jones, *God and the Moneylenders*, 62–63. By the reign of James I this compromise legislation had created a *de facto* “safe” rate for loans for any purpose (business or consumption). See *ibid.*, 78.

constituted usury. The rate of 5% therefore had a very different purpose than in the objectivist approach. Ironically, the subjectivists ended up advocating a rigid standard of a fixed maximum rate of return. In their approach is the birth (or rebirth) of usury as price limitation. With its rebirth we can easily anticipate the argument of arbitrariness, which persists today. Why does 6% and not 5% evidence an intention to harm or of covetousness? Unlike the objectivist approach, which placed this issue in the realm of just price regulation, this subjectivist approach ultimately had no way to answer the question of what rate was too much.

Objectivist and Subjectivist Arguments over New Forms of the Census

The second major focal point of debate was new forms of the *census*. Essentially, this was a debate over how many changes to the originally real-estate-based *census* transformed it into a loan. The two principal aspects of the discussion were how much property could form the *census* base and whether the *census* buyer could demand repurchase of the *census* right and return of the original price paid for the *census* (called “mutually redeemable”).³⁶

In the sixteenth century a debate arose over what type of property could serve as a *census* base. Was a *census* base limited to income-producing realty (a *census realis*) or could moveable and more indefinite personal property serve as a base (a *census personalis*) of the seller?³⁷ A modern analogy would be the distinction between asset and whole business securitization. The debate essentially reduces to one about the extent to which the *census* needed to be tied to a clearly fruitful base. On one side, some objectivist approach arguments insisted that every *census* needed to be paid out of a definite fruitful immobile good and the return could not be guaranteed.³⁸ Others allowed for a much broader base (including the future labor of the *census* seller) and a guaranty of the fruitfulness.³⁹ The difference between

these positions is a matter of degree. The latter allowed a more vague connection between the base and the payments and even, as in the triple contract, a second agreement substituting the uncertainty of the fruitful base for a lower return but with greater certainty.⁴⁰ Thus, although those utilizing an objectivist approach might draw the line between *census* and usury at slightly different points on a spectrum, they agreed that a *census*, as a sale of future income, needed some nexus to a fruitful asset in order to be distinguished from usury. At a bare minimum, even the most accepting of authors require the one selling a *census* to have enough work to produce enough to support his basic necessities and thus precluded buying a *census* from a nonworking person.⁴¹ St. Alphonsus Liguori can be taken as a good example of the minimal objectivist approach position on the need for some fruitful base. He concluded that “the only naturally illicit *census* is one founded on an unfruitful thing or person, for there no real good or usufruct is purchased.”⁴²

Some of the difficulty in analyzing how much of a connection to a fruitful base is necessary to distinguish a *census* from a loan arises from the interplay of this issue with a second concern. Could a *census* be redeemable by the buyer? Many employing an objectivist approach saw a mutually redeemable *census* (i.e., redeemable by both buyer and seller) as indistinguishable from a loan.⁴³ There appears a generally accepted recognition that if one both removes the fruitful base and allows the buyer to demand return of the original price paid for the *census*, there is no objective way to distinguish the transaction from a loan in which the lender can demand return for the money loaned.

This recognition led some to adopt a subjectivist approach with respect to a mutually redeemable *census*, an appeal to intention. Summerhart is a good example. Having reduced the *census* to the sale of a future right to the return of money, his response to the objection that all usury would be thus licit is a vague appeal to intention.⁴⁴ Given the clear similarity of his understanding of

³⁶ See Noonan, *Scholastic Analysis of Usury*, 230–31.

³⁷ See Ashley, *Introduction to English Economic History*, 452.

³⁸ The two best examples of this approach are *Cum onus* of St. Pius V and the writing of Navarrus, who interpreted *Cum onus* to require the fruitful immobile base as a matter of natural justice. See Noonan, *Scholastic Analysis of Usury*, 237–39.

³⁹ This approach is exemplified by the Jesuit General Congregation of 1573, Lugo and Alphonsus Liguori. See *ibid.*, 239–47.

⁴⁰ See *ibid.*, 242–47.

⁴¹ See *ibid.*, 240, 246.

⁴² See *ibid.*, 247.

⁴³ Cf. Soto's conclusion that this right to require return of the original purchase price for a *census* is indistinguishable from a lender's demand for return of principle and thus converts a legitimate *census* into a loan. See *ibid.*, 236.

⁴⁴ See *ibid.*, 233–34.

census to a loan, it is unclear what "intention" is required. Again, the only limit the subjectivist approach is left with is an arbitrary price limit.

By the end of the seventeenth century, despite the divergence of conclusion and analysis among those employing an objectivist approach, they appear to agree that a *census* and a loan are distinct transactions. Yet, even more than with the partnership, writers recognize that a *census* can be nuanced to a point where it becomes a *de facto* loan at usury. Some attempted to fix the line of demarcation in the nature of the base, and others focus on the redeemability attribute. With analysis in such a state of uncertainty, it is understandable why some accepted the subjectivist approach solution of limiting return to a low rate indicating a licit intention.⁴⁵ Due to the difficulty in distinguishing these situations and the risk of evasion, one can understand the appeal of resorting to the intention-based subjectivist approach.⁴⁶ The simplicity of the subjectivist emphasis of intention exalts the

⁴⁵ Events in Bavaria in the late sixteenth century are illustrative of this tension between the need for a clear resolution of the issue and the complexity of the analysis. In 1553, Albert V promulgated a law allowing a *census annuus pro pecuniis mutuiis*, which allowed an annual payment as long as it was not excessive (the subjectivists' simpler solution). The conscience of his successor, William V, was troubled by this law, so he wrote to Pope Gregory XIII to inquire as to whether the following transaction is usurious. One person (T) provides money to another (S), not necessarily a merchant, for a time, without regard to the purpose of providing the money, and S pays T 5% of the sum provided annually and later returns the whole sum. The Pope's answer exemplifies the difficulty of analyzing *census* transactions from the more complex objectivist approach. The Pope responds that this general description of a transaction is a loan. Yet, he goes on to say that he does not mean that all transactions in money where one party pays 5% would be. If the transaction fulfilled all the conditions of a *contractus trinus* or *census* or if the lender had a legitimate claim for interest, in its Roman law sense, it did not violate the usury prohibition. Since there is no definition of *census* in this response, the reply does not provide clear tests for when a *census* is really a *census* and not a loan. On the basis of the response, William repealed the exception to the usury prohibition of his predecessor but at the same time promulgated several forms of contracts that could be used licitly. See Ashley, *Introduction to English Economic History*, 455–56. William recognized that there was a difference between "authorizing every kind of loan under all circumstances [so long as only 5% is charged] and authorizing a certain number of ways of investing money, each of which remained subject to conditions." *Ibid.*, 456 (emphasis in original). One can accept William's conclusion while recognizing that identification of the certain types of permissible transactions and their conditions are still a matter of difficult debate.

⁴⁶ This is exemplified by the decision of the Jesuit Congregation of 1581, which essentially concluded that whenever the ownership of money is transferred for any

significance of the rate as opposed to the attributes and purpose (productive or consumptive) of the transaction. Perhaps those employing an objectivist approach never reached a consensus on the minimum nature of the fruitful base and the effect of the ability to redeem because events moved faster than their analysis. Since transactors and their advisors found other forms of investment transactions, such as a triple contract, licit, the *census* transaction fell into disuse before the debates were resolved.⁴⁷

A Reevaluation of Interest

For those who were not willing to completely abandon the scholastic theory in favor of intention, the recognition that some purported *census* transactions were in fact loans led some attached to the objectivist approach to attempt in these cases to determine if there was a separate justification for the receipt of an additional amount above the purported *census* price. If the purported *census* were in reality a loan, then the 5% return must be categorized as either licit interest or illicit usury. This trend led to a reconsideration of circumstances in which interest (in the Roman sense) was licit.

In Roman law, "interest," as "the difference," was a compensatory concept for a loss suffered.⁴⁸ If applied to usury theory, when it could be shown that in lending 100 and receiving 105, the five which at first appeared more than was loaned was actually compensation for loss caused by lending the 100, no excess is being demanded in repayment. The loss compensated could take two forms: the loss of foregone profit (*lucrum cessans*) that could have been made with the money loaned and the incurrence of costs in making the loan itself (*damnum emergens*). All just entitlements to true interest must have the sole purpose of avoiding loss to the lender rather than reaping a profit for the lender.⁴⁹ Applying an objectivist approach, the amount of interest must be dependent upon the determination of actual or at least

purpose to anyone (other than aged or infirmed persons without property), the transaction, regardless if resolvable to a triple contract or *census*, is licit with a licit intention evidenced by not charging more than obtainable in a triple contract or *census* in another context. See *ibid.*, 276.

⁴⁷ See *ibid.*, 453.

⁴⁸ See chapter 3.

⁴⁹ See, for example, St. Bernardino, *Quadagesimale Evangelio Aeterno, Caritas Et . . . De Usura*, sermo XLII, ad init., art. I, ad init., in *Opera* (Venice, 1745), vol. 2, 248–49.

reasonably likely loss. Applying a subjectivist approach would require inquiry into the intention in charging the specific rate of interest.

As to expenses, the presixteenth-century doctrine accepted that interest could be charged for costs incurred (other than merely the loss of use of the money loaned), and it had to be capable of proof and subject to impartial assessment.⁵⁰ They recognized the justice in requiring compensation in the form of lost profit when the borrower defaulted on a loan.⁵¹ Thus, it was not usury if one loaned \$100, and after a borrower failed to repay, the lender could demonstrate he had an opportunity to use that \$100 at the time of repayment. This specific missed opportunity may have cost the lender something for which he could be compensated. The earlier jurists, however, had been skeptical of a general claim for compensation for potential lost profits from the beginning of a loan as this was seen to be too speculative.⁵² At a time when there were few ventures in which to invest capital, it is easy to see why such a claim would be seen as spurious.

As the sixteenth century unfolded, several thinkers began to consider whether, in light of new opportunities for investing capital, more lenders could charge for *lucrum cessans* from the inception of a loan rather than merely demonstrating specific foregone profits after the fact.⁵³ One stumbling block to admitting this claim to *lucrum cessans* was the understanding of money as a good of a fixed, nonfruitful value. Cajetan is able to reconcile this theory of money with the ability to use money to make a profit implicit in the acceptance of an investment in a *societas*. Money itself is not inherently fruitful and is consumed in use, but it can be consumed to further either a fruitful or a consumptive purpose. Cajetan exemplifies this point by comparison with a grain of wheat, which is something consum-

able in use like money. A grain of wheat can be eaten and completely destroyed or it can be used as seed to produce more wheat.⁵⁴ This understanding of the lending of money expands the use of *lucrum cessans* to an ex ante assessment of loss from a pure ex post facto application if the lender can demonstrate the ability to use the funds in a productive way.

The next question is, to whom is this argument available? Did the lender have to be someone actually engaged in another profitable business from which the money lent was directly diverted, or were economically productive uses of money available to all, enabling all lenders to claim a loss profit?⁵⁵ A plausible explanation for the hesitancy in expanding the acceptance of *lucrum cessans* to almost all loans is that it is occurring contemporaneously with the expansion of commercial investment opportunities. In a time when very few people could invest money in anything more than their own labor, the test of *lucrum cessans* had to focus on the profit potential of the labor of the individual lender. As the need, and thus opportunity, for investment in the businesses managed by others becomes more obviously available to almost anyone with surplus money, so does the acceptance of *lucrum cessans* for all lenders, since everyone, even nonmerchants, could invest the money in a *societas* or triple contract with a merchant.

With this recognition that more widespread commercial investment opportunities existed for most or even all lenders comes a need to determine the amount of this lost opportunity. If one were to charge more than the foregone profit, this would transform *lucrum cessans* from compensatory to a profit on the loan itself. When *lucrum cessans* remained an ex post facto evaluation of lost profit, it still involved some speculation but less so than an ex ante prediction of future lost profit. Several approaches were discussed to prevent *lucrum cessans* from becoming profit on lending itself. Some suggested that the lenders have to point to a specific use of the money from which the loaned funds were diverted, while others required the loan to be involuntary, and yet others (the subjectivists) required that the motive for lending be charitable.⁵⁶

⁵⁴ See Noonan, *Scholastic Analysis of Usury*, 253.

⁵⁵ See *ibid.*, 259–64.

⁵⁶ Cajetan is an example of retaining the Thomistic requirement that *lucrum cessans* may not be claimed if one voluntarily lends for a nonbusiness purpose. See *ibid.*, 254. Summerhart took the nature of the intention to its most stringent form requiring the lender to prefer not lending the principal to lending and receiving

⁵⁰ See *ibid.*, sermo XLI, art. 1, ad init., cap. 2, 3; sermo XLII, art. 1, ad init., cap. 1, 2, 3, ad. init., in vol. 2, 237–39, 249–51; Bernard Dempsey, *Interest and Usury* (London: D. Dobson, 1948), 171, 173.

⁵¹ See Dempsey, *Interest and Usury*, 171, 173.

⁵² “But the lender cannot enter an agreement for compensation, through the fact that he makes no profit out of his money: because he must not sell that which he has not yet and may be prevented in many ways from having.” ST II–II, q. 78, a. 2, ad. 1 (emphasis added).

⁵³ See Edgar Salin, “Usury,” in *Encyclopedia of the Social Sciences* (New York: McMillan, 1934), 195 (noting that proof of actual *lucrum cessans* became easier with the increase of investment opportunities and in fact was presumed to exist for merchants and manufacturers).

Despite the expansion of the availability of *lucrum cessans*, these thinkers still realize that some standard must be developed for limiting it to compensation. Even Lugo, who would liberally allow *lucrum cessans*, admitted that "[t]he lender preferring lending to other work is probably asking more for his loan than he actually has a title to buy '*lucrum cessans*.'"⁵⁷ One answer could be the common estimation of the fixed returns available through triple contracts and *census*. Yet, for an objectivist approach these are important merely as evidence of the actual profit foregone by making a loan, whereas for the subjectivist they become substitutes for discerning the bad intention. The subjectivist approach permitted rates that were even more detached from the theoretical reasons for their usefulness.

Although payment of interest (as compensation), including *lucrum cessans*, was permitted by the sixteenth-century Catholic doctrine, it is only when the opportunities to invest capital productively became widespread that the charging of *lucrum cessans* became more widespread. It does not mark a change in theory but an application of the prior theory to new economic opportunities.

It is important to recall that a significant limit on the entire claim of interest is that there must be some actual loss (even if it is only the loss of an opportunity to profit). In the mid-seventeenth century, after the recognition that more people were likely able to make just claims for interest in the form of *lucrum cessans*, Popes Alexander VIII and Innocent XI reminded everyone that although *lucrum cessans* had become more widespread, the mere loss of money loaned for a time was insufficient in and of itself to give a just claim for the charging of interest.⁵⁸ There must be some reasonable calculation of foregone profit. The example of the bottle of wine discussed in chapter 3 is still valid according to these decrees. If one were not able to invest loaned money during a loan period, then one

lucrum cessans. See *ibid.*, 251–52. Navarrus recognized the difficulty in requiring a charitable intention and thus grasped at a more objective standard that the lender had to have a business purpose from which the money lent is withdrawn, thus requiring the lender to be in a business that could make use of the loaned funds for a profit-seeking venture. See *ibid.*, 260–61.

⁵⁷ *Ibid.*, 266.

⁵⁸ See Robert Denzinger, ed., *The Sources of Catholic Dogma*, trans. Roy J. Deferrari (Fitzwilliam: Loreto Publications, 2002), nos. 1142 and 1191, p. 322, 327.

could not claim interest solely on the lapse of time of the loan. Although in the postindustrial economy such a circumstance rarely if ever exists, the principle is still valid. A possible example could be constructed. If a person has \$1,000 withdrawn from his investments so that he can use it to pay his son's tuition in one week and there is no place he could invest the money legitimately for so short a period, he could not charge a borrower interest in the form of *lucrum cessans* if he were to loan the money rather than merely keeping it in a drawer in his bedroom. This principle may have another application to the loan of money created specifically for the loan (as in modern fractional reserve banking described in chapter 2). If but for the loan the money would not exist, one may wonder how *lucrum cessans* can be charged. We will return to this question in chapter 7.

In the twentieth century the English author Hilaire Belloc maintained this important restriction on charges for loans (distinguished from capital investments) when he noted, "Usury, then, is a claiming of interest upon an unproductive loan, or of interest greater than the real increment produced by a productive loan."⁵⁹ The second half of his formulation ties the amount of *lucrum cessans* to what could have been obtained on a productive investment of capital. Yet, as Belloc himself would admit at the end of this essay on usury, his approach had been consigned to the minority by the twentieth century. England led the charge in adopting the subjectivist concern with merely excessive usury as a sign of a bad motive. Thus, the law would sanction usury up to a fixed limit. Belloc explains:

In England it was under the reign of Cecil, in the year 1571, that interest, though limited to ten percent, became legal without regard to the use made of the loan. The birth year of what may be called "Indiscriminate Usury" is

⁵⁹ Hilaire Belloc, "On Usury," in *Essays of a Catholic* (1931; repr., Rockford: Tan Books 1992). Belloc's use of the terms "productive loan" and "unproductive loan" can lead to confusion. Since his essay was a short polemical piece, it sometimes lacks the clarity of definitions. His essay can be read as authorizing loans at usury to businesses as loans (i.e., "productive loans") rather than investments of capital. Traditional doctrine following the objectivist approach would never approve of a real "loan" regardless of the recipient. The doctrine only distinguished transactions not constituting loans or charges not constituting usury. I believe Belloc's essay can be read consistently with the objectivist approach to traditional doctrine even though his more journalistic genre makes use of contemporary nomenclature without noting the necessary distinctions of meaning.

1609, when, under Calvinism, the Bank of Amsterdam started on its great career of stimulating fortunate capacity and ruining the unfortunate.⁶⁰

From the Sixteenth Century to the Twenty-First Century: Usury in Church and State

Springing from these sixteenth-century debates, we have seen that two practical approaches developed: the objectivist and subjectivist approach. In this part of the chapter we will see in turn how each of the Church and secular legal systems, especially America, developed their treatment of usury. As to the Church we will see that attachment to the objectivist approach was clearly reaffirmed and remained the consistent official doctrine. Yet, the Church developed a prudential reticence to resolve specific hard cases. American law on the other hand adopted the subjectivist price regulation of England and followed it to its logical conclusion: deregulation. The path to deregulation was not a straight one but rather a complex interplay of federal and state law.

Usury Doctrine in the Church

By the seventeenth century, the Catholic usury doctrine through the objectivist approach did have a methodology for responding to the increased financial complexity that had been developing. The doctrine could be applied (albeit with complexity) to permit investments in businesses and income-producing assets and limited nonprofit (but not loss-making) lending for necessary consumption. The new complexities arose from creative alterations of ancient forms. The *societas* and *census* were modified in a variety of ways, many of which appeared to be a mere ruse to cover over lending for consumption at a profit. The availability of greater amounts of interest and in particular *lucrum cessans* was accepted as the costs, particularly lost profits, of lending became more demonstrable. Yet, as with the forms of business investment, these titles to income could be abused. Excessive charges for *lucrum cessans* or disingenuous costs of lending could be alleged to evade usury prohibitions. Distinguishing true investments from disguised loans and legitimate interest as cost recovery from profit became a more complex and demanding exercise. The subjectivist approach eventually adopted by most Protestant countries, with England in the lead, offered a much simpler legal

⁶⁰ *Ibid.*

approach. Allow all charges up to a specified amount regardless of the basis of the claim. Yet, its simplicity came at a cost—the principles of distinction derived from commutative and distributive justice and Roman law were to be sacrificed for simplicity. In the mid-eighteenth century, Pope Benedict XIV finally intervened to settle the matter for the Church. His encyclical, although short, contains a clear reaffirmation of the nuanced methodology of the traditional doctrine as transmitted by the objectivist approach. Yet, his decision reserves flexibility on the level of application of the principles in light of ambiguous and complex factual scenarios. Pope Benedict XIV begins by restating the core principle of usury doctrine:

The nature of the sin called usury has its proper place and origin in a loan contract [*mutuum*]. This financial contract between consenting parties demands, by its very nature, that one return to another only as much as he has received. The sin rests on the fact that sometimes the creditor desires more than he has given. Therefore he contends some gain is owed him beyond that which he loaned, but any gain which exceeds the amount he gave is illicit and usurious.⁶¹

Benedict XIV clearly reaffirms the ancient doctrine in its core principles. Usury involves a loan of money. If such a contract is entered into, no gain may be charged the borrower. He confirms in the encyclical that proof of the principle comes from both the natural law⁶² and divine revelation.⁶³ He reiterates the Aristotelian argument that usury violates commutative justice.

Next, the Pope rejects the subjectivist compromise to forget the details and simply condemn excessive profit on loans. "One cannot condone the sin of usury by arguing that the gain is not great or excessive, but rather moderate or small."⁶⁴ Usury is not only wrong in its effect on the borrower (the heart of the subjectivist approach of fighting "biting usury"), since he

⁶¹ Benedict XIV, *Vix Peruenit* (1745), section 3.1, available at www.papalencyclicals.net/Ben14/b14vixpe.htm, accessed July 8, 2011. Although this document was originally addressed only to the bishops of Italy, the Holy Office declared on July 29, 1836, that this encyclical applied to the whole Church.

⁶² See, for example, phrases such as "by its very nature" and "common human sense and natural reason" in the encyclical.

⁶³ See, for example, "We learn from divine Revelation" and "vice of usury is most emphatically condemned in the Sacred Scriptures" in the encyclical.

⁶⁴ *Ibid.*

explains that usury is not excused merely because the borrower was rich.⁶⁵ Pope Benedict XIV's statement expresses an objectivist approach to the traditional usury doctrine.

Yet, immediately after reiterating this clear principle of natural law, Pope Benedict XIV affirms the requirement to draw distinctions. Usury is only committed in the demand for profit on a loan. The Pope acknowledges that just claims to compensation may be legitimately had even if connected to a loan.

We do not deny that at times together with the loan contract certain other titles—which are not at all intrinsic to the contract—may run parallel with it [e.g., *lucrum cessans* and *damnum emergens*]. From these other titles, entirely just and legitimate reasons arise to demand something over and above the amount due on the contract.⁶⁶

He makes clear that these claims are not a mere cloak for usury as they are in and of themselves “entirely just and legitimate.” Thus, merely calling usury interest, as legislation rooted in the subjectivist approach does, would be insufficient as the claim would not be entirely just and legitimate. He distinguishes demanding a “gain” from “something over and above” the loan. The difference consists in that the former represents a profit, while the latter represents a compensation for loss.

Further, he recognizes that other transactions involving money, if they are not loans, can involve just profit.

Nor is it denied that it is very often possible for someone, by means of contracts differing entirely from loans, to spend and invest money legitimately either to provide oneself with an annual income or to engage in legitimate trade and business. From these types of contracts honest gain may be made.⁶⁷

When one “invest[s] money,” he is not engaging in a loan, and thus different rules apply that will allow “honest gain.” Again, neither the fact that the transaction is with a businessman nor the fact that a businessman uses loaned money for his advantage is enough to remove the injustice of usury if the money was loaned and not invested. Pope Benedict XIV noted earlier

⁶⁵ “[N]either can it be condoned by arguing that the borrower is rich.” Ibid.

⁶⁶ Ibid.

⁶⁷ Ibid.

that usury cannot be condoned “by arguing that the money borrowed is not left idle, but is spent usefully, either to increase one’s fortune, to purchase new estates, or to engage in business transactions.”⁶⁸ If a transaction is a loan, even to a businessman, then no gain can be charged. The transaction must be more than the mere loan of money; it must constitute an investment. Yet, making an investment does not suspend the requirements of justice. Even in these investment contracts “if equality is not maintained, whatever is received over and above what is fair is a real injustice.”⁶⁹ Even though capital investments are not evaluated under the principles of usury, they must still be “weighed in the scales of justice,” which would include the just price doctrine,⁷⁰ as one example. Notice the difference consists in a prohibition of receiving over and above the principle loaned (*quiddam amplius supra sortem*) in the case of a money loan, and receiving over and above what is fair (*quidquid plus justo recipitur*) in an investment.⁷¹

Having reaffirmed all the essential elements of the ancient doctrine on usury (including the need to make distinctions), Pope Benedict XIV turns to the prudent methods for its practical application. First, he declines to issue a definitive ruling on the specific transactions in use throughout Italy that gave rise to the need for his clarification of doctrine.⁷² The two-pronged approach of the encyclical is clear, and objective principles applied with caution and prudence. Although he rejects the simpler but lax approach of the subjectivist acceptance of moderate usury, he also rejects a rigorous application that refuses to make the necessary, albeit difficult, distinctions between compensation and gain and between loans and investment. In the very same sentence he condemns not only the “indulgent and so remiss” but also “some who judge these matters with such severity that they hold any profit derived from money to be illegal and usurious.”⁷³ Benedict recognizes that the facts are often difficult to interpret and they should thus be left to expert jurists,

⁶⁸ Ibid.

⁶⁹ Ibid.

⁷⁰ See chapter 3.

⁷¹ Latin text of the encyclical is available at www.domus-ecclesiae.de/magisterium/vix-pervenit.html, accessed July 13, 2011.

⁷² “Concerning the specific contract which caused these new controversies; We decide nothing for the present; We also shall not decide now about the other contracts in which the theologians and canonists lack agreement.” Benedict XIV, *Vix Pervenit*, subsection 6.

⁷³ Ibid.

canons, and civil courts. He rejects the subjectivist permission of any type of transaction charges up to an arbitrarily decreed maximum rate as well as the prohibition of all profit on capital investment. He reminds all to avoid polemics in the difficult cases, especially when a position "does not lack the support of reason." Like the subjectivists, Benedict XIV thus leaves some room for flexibility in application. Yet, his flexibility differs from the subjectivists. Their flexibility derives from a distinction of degree. Benedict XIV's approach is still rooted in objectivist distinctions in substance, but he authorizes a breathing space for disagreement over hard cases. The hard cases should not be judged on intention or gravity of excess but on the difficulty in drawing the necessary distinctions given the complexity of facts. His approach takes into account the fallibility of humans in making specific judgments about the application of universal principles.

The resulting implication is similar to the practical approach to just price doctrine described by St. Thomas three centuries before *Vix Peruenit*. All prices contracted at a variation to the just price are unjust and therefore sinful. The divine law will leave nothing unpunished. Yet, due to the difficulty in determining the exact just price with precision at a given time, human law allows some flexibility in its provisions, only granting a remedy under the civil law for clear cases (either involving fraud or a significant variation to the just price). A similar result is implicit in Benedict XIV's discussion of usury. All charges beyond just titles (e.g., *lucrum cessans*) or just profit from investment (e.g., from a *societas*) are unjust and sinful. Yet, human law may leave some breadth for deciding cases in which it is difficult to discern these distinctions. Human law is not legitimizing usury under a certain level but merely tolerating some violations due to the difficulties of hard cases. The intention of the lender, although perhaps relevant to determine personal culpability, is irrelevant to the justice or injustice of the transaction. The legal line is not arbitrary but is drawn at the point that appears to separate hard from clear cases.

The position marked out by *Vix Peruenit* remains the position of the Church down to this day. It is the last definitive papal document dedicated to the topic of usury, and its contents have never been officially retracted or rescinded.⁷⁴ Since it summarized two thousand years of reve-

lation and natural law reasoning, no more needed to be said. Yet, no further decisions on particular types of contracts and transactions were issued by the Holy See. Particular situations were to be left to experts on the ground and closer to the facts, and they were urged to proceed in prudence. In the early nineteenth century, the bishop of Rheims wrote to Pope Pius VIII to ask if confessors adopting a certain *modus operandi* with respect to usury issues should be corrected or left alone. When certain loans to businessmen that were the subject of much unresolved debate as to whether they constituted usury were brought to the internal forum, these confessors were urging the penitents to desist from the questionable transactions. If, however, the penitent insisted on continuing, the confessors were permitting it so long as the penitent agreed that if at a future date such contracts were definitively declared by the pope to be unlawful usury, he would cease and desist. The reply to this inquiry was that "[t]hey [the confessors at issue] are not to be disturbed."⁷⁵ Thus, the practice of allowing some scope in application in hard cases was affirmed so long as the person involved was willing to submit to any future judgment.

This reply is one in a series of nineteenth-century replies from Rome in response to a variety of questions about particular contracts and usury. Some asked if more rigorous and restrictive confessors should become more accommodating, while others asked about the propriety of milder confessors. The repeated answers were that all should be left alone, but if a definitive decree were later issued with respect to any of these situations, the parties should be ready to conform their action to such decree.⁷⁶ In examining the particular cases put to the authorities, none on their face are clearly irreconcilable with the principles underlying business investment or legitimate claims to compensation in the context of a loan (compensatory interest, *lucrum cessans*, etc.). Thus, the approach of Benedict XIV was maintained in the nineteenth century: the age-old principles are

⁷⁵ Pius VIII, "Response to the Bishop of Rheims," in Denzinger, *Sources of Catholic Dogma*, nos. 1609–610, pp. 401–2. The Pope also told the bishop that he could encourage (although not require) more rigid confessors to adopt such an approach.

⁷⁶ See Noonan, *Scholastic Analysis of Usury*, 378–82 (summarizing the contents of these decrees). The original replies of the Holy Office dated August 18, 1830, August 31, 1831, January 17, 1838, March 26, 1840, and February 28, 1871; and that of the Sacred Penitentiary of February 11, 1832, can be found collected in *Collectio Lacensis (Acta et decreta s. conciliorum recentiorum)* VI, col. 677ff., Appendix to the Council of Pondicherry.

⁷⁴ One exception may be canon 1543 of the 1917 Code of Canon Law, discussed later in this chapter, which in more summary fashion reaffirms the principles.

reaffirmed, but due to increasing complexities the authorities prudently refrained from applying them to particular circumstances, leaving the judgments to confessors on the ground, who are closer to those details. One interesting question raised in some of these queries is whether charging for a loan no more than the amount authorized by civil law is sufficient to legitimize a charge as justified. In its reply, the Holy Office merely referred the questioner to its prior decrees that stated the parties should be left alone.⁷⁷ Interestingly, when asked if the prior decrees, which left alone those confessors who permitted penitents to collect amounts authorized by the civil law, Cardinal Gregorio, the Grand Penitentiary, replied:

The Sacred Penitentiary wished to define nothing at all about the question, debated by theologians, of the title derived from the law of the prince [i.e., civil law]; but only to provide a norm which confessors might safely follow in regard to penitents who take a moderate profit determined by the law of the prince, with good faith and ready to accept the commands of the Holy See. Those, therefore, who in preaching teach absolutely that it is licit to take profit from a loan by title of the civil law . . . define by private authority a question which the Holy See did not yet wish to define.⁷⁸

The fact that a civil law permitted some charges was not an absolute principle justifying charges on a loan. For the time being the Church authorities merely left undisturbed those acting in good faith who were charging an amount clearly below the modest civil law legal limit. We must recall that virtually all civil laws at that time permitted very low percentage charges (5%–10%) compared to modern regulation. The prudential judgment by the Church not to legislate specifically must be evaluated in this context. The assumption was likely that legitimate claims to compensatory interest, including *lucrum cessans*, were coextensive with the then existing civil law rate limits. These charges were not necessarily just by virtue of the civil law but were coincidentally such.

The Code of Canon Law adopted in 1917⁷⁹ can be read as a reaffirmation of the perennial principles of the usury doctrine summarized in *Vix*

⁷⁷ See Noonan, *Scholastic Analysis of Usury*, 380.

⁷⁸ *Ibid.*, 380–81.

⁷⁹ Although the canon dealing with usury does not appear in the New Code of Canon Law of 1983, no real conclusions can be drawn from its absence. Due to

Peruenit as well as the tentative prudential approach to specifics taken therein and in the nineteenth-century decisions. Canon 1543 reads:

If a fungible thing is given to another so that it becomes his, and later it must be restored in the same sort, no profit can be made by reason of the contract; but in the loan of a fungible thing, it is not by itself illicit to reap a legal profit, unless it can be shown to be immoderate of itself, and even greater profit [can be made] if there is a just and proportionate title so supporting.⁸⁰

Several points can be made about this law. First, it reaffirms the most basic principle of usury doctrine handed down from ancient times: no profit can be charged solely on the basis of the loan of a fungible good.⁸¹ This principle is without prejudice to other claims to profit distinguishable from profit on a loan of a fungible good, which are in and of themselves just. Thus, profit on investment of capital, charges for losses (including lost profits), and other related services, in each case so long as just themselves, are not necessarily

the more accelerated surrender of jurisdiction of the Church to the secular state, especially after the Second Vatican Council, the 1983 Code omits virtually all the substantive canons regulating contracts and business transactions. The New Canon 1290 merely states: "[T]he general and particular provisions which the civil law in a territory has established for contracts and their disposition are to be observed with the same effects in canon law insofar as the matters are subject to the power of governance of the Church unless the provisions are contrary to divine law or canon law provides otherwise, and without prejudice to the prescript of can. 1547." The remaining parts of this Title of the Code merely discusses procedures for alienating property. Thus, the entire law of contracts and transacting is ceded to the state, with one major qualification: such abdication does not apply if provisions of the civil law are "contrary to divine law." Despite disputes about how to apply the divine law, Catholic doctrine has consistently taught that usury is contrary to the natural and divine law. Thus, this one little phrase indicates that notwithstanding the abdication of all particular human law on usury by the Church, the principles of usury law coming from the divine law, reaffirmed in *Vix Peruenit*, remain intact and take precedence over contradictory civil law.

⁸⁰ Edward N. Peters, ed., *The 1917 Pio-Benedictine Code of Canon Law: In English Translation with Extensive Scholarly Apparatus* (San Francisco: Ignatius Press 2001), 516.

⁸¹ Interestingly, the statement also returns to the more general ancient formulation not limited to money, referring to anything fungible. The return to a more general formulation interestingly occurs just as money is shaking off any final vestiges of reality. The gold standard is in its final days. The Federal Reserve is in operation. All the ingredients for a fictional, fiat currency (which will make the detection of usury and the application of principles more difficult) are all in place.

precluded by the prohibition on all usury simply because they are related to a loan. As to the civil law, the provision appears to distance the Church from the view advocated by some in the nineteenth century that the fiat of civil law could make usury into just compensation. One may not collect even legal (under civil law) profit if it is excessive, which can be understood in light of the second half of the provision as not otherwise justifiable by another claim. On the other side of the equation, profit above the legal limit may be permitted when another title warrants. In short, the civil law is practically irrelevant for deciding the morality of cases. Whereas in the past confessors were permitted to use the civil law as a prudential guide, this canon backs away from such a position and clarifies that civil legality is not necessarily equivalent to being just or moral. Interestingly, this final definitive legal statement of the Church on usury distances Church doctrine on usury from civil law on the eve of the era when civil law jettisoned virtually all restrictions on profits on a loan and "legalized" virtually all usury.

Although the policy of the Church after *Vix Peruenit* was to withdraw from official applications of usury doctrine to specific transactions and leave a wider discretion for confessors on the ground to apply it to increasingly complex economic situations, recent popes have been careful to make clear that such policy should not be interpreted as an abandonment or nullification of the ancient principles of usury doctrine. Popes Leo XIII,⁸² St. Pius X,⁸³ Pius XI,⁸⁴ and Benedict XVI,⁸⁵ have all referred to the traditional usury doctrine in encyclicals, either by praising those who combat usury or condemning those who practice it. The two most recent popes have also continued to refer to the scourge of usury in audiences and other

⁸² "The mischief has been increased by rapacious usury, which, although more than once condemned by the Church, is nevertheless, under a different guise, but with like injustice, still practiced by covetous and grasping men." *Rerum Novarum*, no. 3.

⁸³ "He opened institutions to protect the poor against tyrannical masters, usurers, and the enslavement of children." *Edictae Saepé*, no. 31.

⁸⁴ "These fortunes were often acquired in divers and sinful manners, sometimes by the violent extortion of money and other times by usury." *Rite Expiatus*, no. 8.

⁸⁵ "This is all the more necessary in these days when financial difficulties can become severe for many of the more vulnerable sectors of the population, who should be protected from the risk of usury and from despair. The weakest members of society should be helped to defend themselves against usury, just as poor peoples should be helped to derive real benefit from micro-credit, in order to discourage the exploitation that is possible in these two areas." *Caritas in Veritate*, no. 65.

speeches.⁸⁶ Even the modern *Catechism of the Catholic Church* contains three references to usury.⁸⁷ Thus, for the past century the Church, although prudentially withdrawing from detailed debates, has reminded the world that usury still exists as an injustice in our world and the decrees of the natural law and divine revelation remain obligatory.

Civil Law: The Practical Abandonment of Usury Law in America

America's legal regime came into existence almost contemporaneously with the great debates that would divide usury jurisprudence between objectivist and subjectivist approaches. In this part of this chapter we will examine the history of usury law in the United States. We will see how the subjectivist rate regulation of England inherited by the American colonies would eventually reach its logical conclusion of a virtually unregulated usury regime. Secondly, we will examine the one aspect of American law that on first examination seems to be consistent with the objectivist

⁸⁶ "I then greet the representatives of the Italian National Anti-Usury Council, which is commemorating its 10th anniversary. Dear friends, the presence of so many of you gives me the opportunity to express my deep appreciation for the courageous and generous work you do for families and individuals affected by the deplorable social scourge of usury." Benedict XVI, General Audience, November 23, 2005. "The person of faith, then, is generous; respecting the biblical norms, he offers help to his brother in need, asking nothing in return (cf. Dt 15:7-11), and without falling into the shame of usury which destroys the lives of the poor." Benedict XVI, General Audience, November 2, 2005. See John Paul II, General Audience, November 10, 2004 (describing usury as a false god); John Paul II, General Audience, February 4, 2004 (describing usury as "a scourge that is also a reality in our time and has a stranglehold on many peoples' lives"); John Paul II, Homily at the Roman Parish of Our Lady of Suffrage and St. Augustine of Canterbury, April 1, 2001 (referring to "situations of hardship: from drug addiction to usury, from prostitution to youth problems, from unemployment to the difficult integration of immigrants"). "These are initiatives to be encouraged, for this is the path which can lead to the radical elimination of the shameful scourge of usury." John Paul II, Message for the Celebration of the World Day of Peace, January 1, 1998. John Paul II, Address to Central Institute of Co-Operative Credit Banks, June 26, 1998 (calling usury a scourge).

⁸⁷ *Catechism of the Catholic Church* (Washington, DC: USCCB Publishing, 2000), 2249 (referring to the Old Testament prohibition on usury on loans); *ibid.*, 2269 (commenting that usurious lending that causes the death of the borrower through hunger is imputable homicide); *ibid.*, 2438 (describing the current financial system as "abusive if not usurious").

approach of distinguishing transactions, the corporate exception. We will see that, despite appearances, the principles differ greatly.

The American Usury Inheritance and Its Undemocratic Dissolution

The establishment of America's legal landscape occurred immediately after this great split in usury jurisprudence and philosophy began to emerge. With the adoption of the usury statutes of 1535 and 1571, England chose to align itself mostly with the subjectivist solution to the new complexities and outlaw only excessive usury but provide legal sanction for modest usury, abandoning the distinctions between investment and loans and interest and usury. The early American English colonies and the first states of the new country followed this legal path of the mother country.⁸⁸ The early usury laws of the colonies and the first states were based on the interest rate caps of the English Statute of Anne, which limited usury to 5%.⁸⁹ The colonies set interest rate ceilings at a variety of levels ranging between 4% and 10%, with most states after their independence settling on a maximum rate of 6%.⁹⁰ Although the philosophical and jurisprudential rationales for these laws were fundamentally different from the objectivist approach exemplified by *Vix Pervenit*, often the practical result was indistinguishable due to the low rates authorized. There was significant overlap in the categories of transactions or loan charges permitted by the distinctions drawn in *Vix Pervenit* and the simple rate regulations of the American states. Since these legal rates were quite low, it was likely that they would converge with the amounts of licit *lucrum cessans*. For example, a triple contract at 5% or lost profits (*lucrum cessans*) of 5% would be permitted both under *Vix Pervenit* and an early American rate limit.

State usury law remained virtually unchanged in its commitment to the subjectivist-inspired rate limitation well into the twentieth century.⁹¹

⁸⁸ "The colonists from England brought with them seventeenth-century English attitudes toward credit and interest." Homer and Sylla, *History of Interest Rates*, 274.

⁸⁹ See Christopher L. Peterson, "Truth, Understanding, and High-Cost Consumer Credit: The Historical Context of the Truth in Lending Act," *Florida Law Review* 55 (2003): 844.

⁹⁰ *Ibid.*

⁹¹ *Ibid.* The one exception is the introduction into many state laws of the "corporate exception" having an apparent similarity to the objectivist distinction between business investment and money loans. The corporate exception is discussed later in this chapter.

Although the federal and state governments experimented at times with policies to promote debtor amnesty and low cost and charitable lending,⁹² the regulatory core of usury law remained essentially in the form of these relatively low rate caps. By the 1970s and in response to various monetary and fiscal crises, banks had lobbied many states to relax usury laws. As a result many states had adopted a complex variety of exceptions and exclusions that permitted higher rates, yet in most states some maximum limits remained in place.⁹³ As economic pressures increased, some states abolished their usury laws altogether, while some converted their rate caps into sliding scales pegged to some federal rate.⁹⁴

Lenders then turned to the federal government. Using its power to preempt state law, the Congress exempted federally insured deposit institutions from state law limitations on rates on first home mortgages.⁹⁵ Yet, it was the Supreme Court that had the most important role in neutralizing state usury law by reducing it to the lowest common denominator. In *Marquette Nat'l Bank of Minneapolis v. First of Omaha Service Corp.*, the Supreme Court interpreted a Civil War era federal law as permitting a national bank to charge the legal rate of interest either of the state where it is located or where it is doing business.⁹⁶ Christopher L. Peterson explained the consequences for state usury law of this decision:

⁹² See *ibid.*, 855–72.

⁹³ Kathleen E. Keest, *The Cost of Credit: Regulation and Legal Challenges* (Boston: National Consumer Law Center, 1995), 55.

⁹⁴ *Ibid.*

⁹⁵ Depository Institutions Deregulation and Monetary Control Act of 1980, PL. 96–221, 94 Stat 132 (1980).

⁹⁶ 12 U.S.C. § 85 (2006); *Marquette Nat'l Bank of Minneapolis v. First of Omaha Serv. Corp.*, 439 U.S. 299, 310, 313 (1978) (holding that a national bank could charge borrowers the rate of interest authorized in the state where it was located even if higher than the state where the loan was made and determining that a bank is located in the state specified in its organizational certificate and not in another state just because it extends loans there); *Tiffany v. Nat'l Bank of Mo.*, 85 U.S. 409, 413 (1874) (holding that national banks could charge at least the same rate as in-state chartered banks); *Cades v. H&R Block, Inc.*, 43 F.3d 869 (4th Cir. 1994) (holding that a loan secured by an income tax refund organized by H&R Block offices in South Carolina for a South Carolina client but technically advanced by a Delaware located bank could apply Delaware usury law); *Basile v. H&R Block, Inc.*, 897 F. Supp. 194 (E.D. Pa. 1995) (holding that a Pennsylvania-headquartered bank could lend to a Pennsylvania resident and apply the law of Delaware since it chose to make the loan through its Delaware subsidiary);

This [the decision] set off two races: first for credit card lenders to move their operations to states with no interest rate caps, and second for state legislatures to remove their usury laws in order to attract or hold onto rapidly expanding credit card companies. By the early 1980s, states around the union including Delaware, South Carolina, South Dakota, and Utah had abolished all interest rate controls. Even though bastions of interest rate regulation like Minnesota soon followed along by raising interest rate caps, the damage was already done. In theory, if every state legislature in the union but one passed low interest rate caps, then lenders could simply set up operations (either in fact or on paper) within that one state. Lenders could export that state's unregulated interest rates to every other state, regardless of objections of the other forty-nine democratically elected state legislatures. In practice, nine Supreme Court justices eliminated two hundred years of democratic state interest rate regulation of bank loans.⁹⁷

Professor James J. White described the statutory interpretation of the Supreme Court in this case scathingly:

That this statute [12 U.S.C. § 85] would allow a bank in New York to lend from its South Dakota subsidiary to a resident of New York under South Dakota law, and so escape the New York usury law, would have seemed preposterous to a Civil War congressman.⁹⁸

Two years later, Congress took the Supreme Court's lead. The *Marquette* decision only applied to national banks (banks chartered under federal as opposed to state law). Later, Congress extended the effect of the decision to all FDIC-insured, state-chartered banks and branches of foreign banks. This allowed them to export the usury law of the state in which they were chartered to any other state.⁹⁹ By making this immunity from usury law available to

⁹⁷ *Wiseman v. State Bank and Trust*, 854 S.W.2d 725, 726 (Ark. 1993) (holding an Oklahoma subsidiary of an Arkansas bank holding company could make a secured purchase money car loan to an Arkansas resident that the parties conceded violated Arkansas's usury law and could apply Oklahoma usury law).

⁹⁸ See Peterson, "Truth, Understanding, and High-Cost Consumer Credit," 874-75.

⁹⁹ James J. White, "The Usury Trompe L'Oeil," *South Carolina Law Review* 51 (2000): 447.

¹⁰⁰ "Interest rates. In order to prevent discrimination against State-chartered insured depository institutions, including insured savings banks, or insured branches of

FDIC-insured state banks and foreign banks only, Congress gave the impression that it was not completely preempting state usury law.¹⁰⁰ Yet, given that approximately 90% of all banks choose to become FDIC-insured,¹⁰¹ this change effected a near total preemption of state usury law, resulting in the export of lenient usury laws to out-of-state transactions. The *Marquette* decision combined with Congress's action left only the following subject to state usury law: nonbank lenders, non-FDIC-insured state banks, and state-chartered banks conducting business in their home states of incorporation. The result of the federal intervention persuaded most states to amend their own laws to permit their state-chartered banks to charge the same rates as federal and out-of-state-chartered banks conducting business in their states.¹⁰² Obviously, with every other bank in town preempted from their state's usury laws, locally chartered banks faced a major competitive disadvantage. In the early 1990s Congress acted again to make it even easier for national banks to import lax usury laws into states maintaining prohibitions. The Riegle-Neal Interstate Banking and Branching Efficiency Act of 1994 authorized national banks to extend loans in multiple states through branches rather than creating individual bank subsidiaries.¹⁰³ This change further facilitated the process of national banks importing the laws of states with limited or no usury laws into states with more restrictive laws. The national bank need only locate in a state with limited or no usury laws and establish branches (as opposed to corporate subsidiaries) in more restrictive states to remain subject only to the usury laws of its home state.

Arkansas remained the only usury holdout. In 1990, an amendment was proposed to Arkansas's constitution that, among other things, would have raised the legal interest charges on consumer loans to 17%.¹⁰⁴ As a result of

foreign banks with respect to interest rates . . . such State bank or such insured branch of a foreign bank may [charge interest on a loan] . . . at the rate allowed by the laws of the State, territory, or district where the bank is located." 12 U.S.C. § 1831d(a) (2006).

¹⁰⁰ White, "Usury Trompe L'Oeil," 454.

¹⁰¹ *Ibid.*, 451.

¹⁰² *Ibid.*, 454.

¹⁰³ Riegle-Neal Interstate Banking and Branching Efficiency Act of 1994, PL 103-328, 108 Stat 2338 (1994) (codified as amended in sections throughout 12 U.S.C.).

¹⁰⁴ See Kenneth E. Galchus and Ashvin Vibhakar, "A Continuing History of Arkansas's Usury Law: On the Verge of Extinction?" *University of Arkansas at Little Rock Law Review* 25 (2003): 819, 821.

the defeat of this amendment and the federal preemption initiatives, only in-state Arkansas banks remained subject to the more restrictive usury provision in Arkansas's constitution.¹⁰⁵ Having failed to amend the Arkansas Constitution in 1990, those seeking to liberate Arkansas banks from its constitution turned to the federal government. The Gramm-Leach-Bliley Act contained a provision preempting state constitutions with restrictive usury provisions.¹⁰⁶ This provision was intended to provide any state or federally chartered bank located in a state a right to charge the same rate as any interstate bank branching into that state.¹⁰⁷ The politicians did not even have the honesty to clearly state that they were preempting Arkansas's democratically approved constitution after the voters rejected its amendment to relax usury laws. Rather than just saying the preemption applies to Arkansas, the statute uses the following circumlocution:

In the case of any State that has a constitutional provision that sets a maximum lawful annual percentage rate of interest on any contract at not more than 5 percent above the discount rate for 90-day commercial paper in effect at the Federal reserve bank for the Federal reserve district in which such State is located, except as provided in paragraph (2) . . .¹⁰⁸

The federal government in one stroke, and without a vote of the citizens of Arkansas, "effectively repealed" Arkansas's constitutional limitation of usury, at least with respect to banks.¹⁰⁹ If only one national bank branched into Arkansas from a state with no usury limit, all Arkansas banks would be exempt from the Arkansas Constitution. Truly a triumph of democracy!

Beyond preemption for banks in general, Congress has also preempted state usury laws with respect to certain home mortgages,¹¹⁰ certain student loans,¹¹¹ loans to certain members of the armed forces and their dependents,¹¹² and

¹⁰⁵ *Ibid.*, 830.

¹⁰⁶ Gramm-Leach-Bliley Act § 731, 12 U.S.C. § 1831u(f) (2006).

¹⁰⁷ *Johnson v. Bank of Bentonville*, 122 F. Supp. 2d 994, 998 (W. D. Ark. 2000), *aff'd*, 269 F.3d 894 (8th Cir. 2001).

¹⁰⁸ *Ibid.*

¹⁰⁹ See Galchus and Vibhakar, "Continuing History of Arkansas's Usury Law," 831.

¹¹⁰ 12 U.S.C. § 1735f-7 (2006); 38 U.S.C. § 3728 (2006).

¹¹¹ 20 U.S.C. § 1078 (2006).

¹¹² 10 U.S.C. § 987 (2006). This section preempts, for covered loans, otherwise applicable state usury limitations with a maximum rate of 36%.

agricultural loans.¹¹³ Following the federal lead of preferentially protecting banks from usury laws, some states have removed banks from the application of state usury law altogether.¹¹⁴ The result is that only nonbank local credit providers such as pawn shops, rent-to-own dealers, and some payday lenders (making certain types of loans) remain subject to state usury law, and even these may be able to escape state usury law by partnering with an out-of-state bank.¹¹⁵ Essentially, a lender needs merely to partner with a bank, having the bank perform the legal function of legally making the loan arranged and prepared by the nonbank partner in exchange for a small share of the income from the transaction. Thus, although a majority of states still appear to have restrictive usury laws on their books (or even in their constitutions), the process of preemption and exclusions has rendered them a dead letter. The effect of this process of creeping preemption has been to render "stern statutory restrictions on rates . . . an illusion whose only current function is to give the appearance that the state is protecting consumers from high rates."¹¹⁶

Since the subjectivist rate limitation is not based in consistent principles, but rather a vague sense of protecting against only "excessive" usury, the logical outcome is an abandonment of virtually all usury restrictions since any chosen rate appears arbitrary. As a result, America has gone from a legal regime that in practice, although not in theory, differed little from the

¹¹³ 12 U.S.C. § 2279aa2 (2006).

¹¹⁴ See, for example, NY Banking Law § 108 (McKinney 2001).

¹¹⁵ See White, "Usury Trompe L'Oeil," 458 (arguing that small local lenders are not escaping state usury law due to the economic inefficiency of partnering with out-of-state banks rather than as a function of prohibitive law); Pearl Chin, Note, "Payday Loans: The Case for Federal Legislation," *University of Illinois Law Review* 3 (2004): 734-40 (describing the "rent-a-bank" approach, and some legal challenges to it, used by some larger scale payday lenders that allows importation of lenient usury laws from the state of the payday lender's partner bank). In fact a federal district court case may reconfirm the ability of partnering with national banks that initiate credit transactions and subsequently transfer the loans to a nonbank entity. See *Munoz v. Pipestone Fin. L.L.C.*, 2007 WL 2509755 (D. Minn. August 30, 2007) (holding that credit card debt exempted from state usury law retains its federal preemption status after transfer to a nonbank debt collector). Although the case dealt with a debt collector transferee, it confirms the general principle that once a debt is created in a preempted context, the preemption status is transferred to future holders of the debt. See also *Phipps v. FDIC*, 417 F.3d 1006 (8th Cir. 2005) (holding that courts must look at the originating entity and not the assignee to determine whether preemption controls interest rates).

¹¹⁶ White, "Usury Trompe L'Oeil," 447.

objectivist approach to one that has legalized virtually all usury at any price. The politicians can point to state usury statutes counting on the fact that very few citizens will work through the maze of federal court and statutory preemption, which renders them worthless.

Investment and the Corporate Exception

In chapter 4 we examined how the traditional usury doctrine distinguished a money loan from an investment of capital in a business. We also considered how jurists and philosophers eventually reached the conclusion that the substance of a transaction should take precedence over form. The elements of a triple contract became established as licit even if the formalities of all three contracts were omitted in certain cases. Against this background, the so-called corporate exception could be seen as an element of an objectivist approach to usury in American law. It might be viewed as a method for distinguishing capital investment in businesses from money loans. Yet, upon closer analysis the corporate exception will be seen to be as arbitrary as subjectivist rate regulation.

In response to *Dry Dock Bank v. American Life Insurance & Trust Co.*,¹¹⁷ the legislature in New York adopted a statute that banned corporations from presenting usury defenses against their debts.¹¹⁸ This corporate exception was soon copied by many states.¹¹⁹ The statute does not exclude loans to corporations from usury but merely prohibits corporations from using the defense of usury in actions by their creditors. The exception was further complicated by a later provision repealing the corporate exception for criminal usury,¹²⁰ which constitutes knowingly lending at more than 25% when not authorized to do so by law.¹²¹ The confusing nature of the corporate exception is further exemplified by the exclusion of bank lenders

from criminal usury altogether.¹²² The corporate exception may appear to be a survival of the distinction between investment in businesses or productive assets and loans. That this conclusion is untrue is evident from the rationale (if such contortions can be considered rational) cited for the corporate exception. Those justifying the theory do not argue that investing in businesses is fundamentally a different type of activity from lending for consumption. Rather, they argue that as corporations are more sophisticated, they are better able to understand loan transactions and protect themselves.¹²³ Yet, the formation of a corporation by filling out a form in a government office proves very little about either sophistication or the use of the proceeds of the loan. To avoid the usury law, it would be possible to make a personal loan structured as a loan to a newly formed corporation with a personal guaranty from the real debtor. New York legislators recognized this method for evading usury law with straw-man corporations and attempted to prevent loans to individuals from being artificially structured as loans to newly created or acquired corporations.¹²⁴

In this light, the corporate exception is really another embodiment of the subjectivist approach to merely limit excessive or outrageous usury. The rule itself merely distinguishes on the basis of the form of the borrower, a corporation or an individual, which is assumed to be a proxy for the sophistication of the borrower. Usury is only unjust if the borrower is not sophisticated enough to recognize the injustice. This distinction does not necessarily have anything to do with the use of money, whether it is capital for business or money for consumption. The objectivist approach

¹²² See *Flushing Nat'l Bank v. Pinetop Building Corp.*, 369 N.E. 2d 766 (NY 1977) aff'd on the Memorandum at 54 AD 2d 555 (App. Div. 1976).

¹²³ "Such cases as these [upholding the corporate exception when corporations formed specifically for the purpose of borrowing] are correctly decided only if it can be shown from the record that the borrower was familiar with commercial and lending transactions" (emphasis added). Jack C. Merriman and James J. Hanks Jr., "Revising State Usury Statutes in Light of a Tight Money Market," *Maryland Law Review* 27 (1967): 9. See Oeltjen, "Usury: Utilitarian or Useless?" 185.

¹²⁴ N.Y. Gen. Oblig. Law § 5-521(2) (McKinney 2001); see *Schneider v. Phelps*, 359 N.E.2d 1361, 1365 (NY 1977): "It soon became apparent that, in making loans to individuals, the usury laws could be easily avoided by the simple expedient of establishing a corporation and making the loan directly to it instead of to the ultimate individual user of the proceeds. . . . Through this practice, the lenders could demand usurious rates of interest from desperate and unsophisticated borrowers cloaked with a corporate veil."

¹¹⁷ *Dry Dock Bank v. American Life Ins. and Trust Co.*, 3 NY 344 (1850) (holding that a loan to a corporation in excess of the legal rate was void).

¹¹⁸ The statute stated, "No corporation shall hereafter interpose the defense of usury in any action." Paul Golden, "Evolution of Corporate Usury Laws Has Left Vestigial Statutes That Hinder Business Transactions," *New York State Bar Association Journal* (November–December 2001), 20. This corporate exception is codified at N.Y. Gen. Oblig. Law § 5-521(1) (McKinney 2001).

¹¹⁹ See Golden, "Evolution of Corporate Usury Laws," 20.

¹²⁰ N.Y. Gen. Oblig. Law § 5-521(3) (McKinney 2001).

¹²¹ N.Y. Penal Law § 190.40 (McKinney 1998).

maintains that injustice arises from the nature of the transaction not the awareness of the parties.

Thus, any similarity between the corporate exception and the distinguishing of business capital investment is merely superficial. The corporate exception was only another embodiment of the subjectivist approach to usury. Like subjectivist-inspired rate regulation, the approach did not attempt to maintain adherence to the basic principle of justice contained in the millennia-old usury doctrine. It merely observed the effects of usury on some members of society and drew arbitrary lines, either 5% or 17% or at the filing desk for incorporation.

Conclusion

The debates in the sixteenth century gave rise to two schools of thought. After a period of consideration, the objectivist approach was taken up by the Church. Benedict XIV and the 1917 Code of Canon Law reaffirmed that objective usury principles contained in divine law and natural law remain applicable today. Yet, in light of modern complexities that obscure the substance of many transactions, the Church has withdrawn from detailed determinations at the universal jurisdictional level, leaving them to individuals and confessors. This scope for decision making is similar to the scope allowed in just price doctrine. Yet, the principle remains that profit on a loan is unjust under natural law and divine law and remains unjust and immoral even if undetected under the fog of modern complexities.

The government of the United States remained on the path charted by England: subjectivist rate regulation. Notwithstanding democratic votes to maintain prohibitions on excessive usury, federal preemption by the Supreme Court and Congress has rendered state usury limitations a dead letter. Today virtually any loan can be made at any rate with the right legal advice and structuring. Thus, while the Church has given a wider breathing space in her legislation, she has also maintained that this freedom is due only to the difficulty in distinguishing usury from legitimate profit today. Furthermore, she has insisted that individuals use this breathing space in light of the traditional doctrine. In reality, the United States has given up the struggle entirely and left the field open. This choice was not even made democratically. Usury law was repealed surreptitiously by the Supreme Court and Congress.

CHAPTER SIX

The Home Mortgage Market and the Financial Crisis

Those who cannot remember the past are condemned to repeat it.

— George Santayana,
The Life of Reason; Or the Phases of Human Progress

IN 2008, a crisis in the subprime mortgage market exploded into a systemic financial crisis. Several major and supposedly indestructible figures of American finance either collapsed (Lehman Brothers) or survived only by unprecedented government intervention (AIG). Analysts and pundits alike seemed on a quest to outdo each other in using dramatic phrases to describe the mortgage crisis's historic proportions. The causes of a crisis so large must be numerous, lying in the realms of bank regulation and supervision, the operation and regulation of the securitization market, and the deregulation of the derivatives and insurance markets. Yet, the root and spark of the various financial reverberations initiated in the home mortgage finance market. This chapter will focus on this central cause to look for an explanation of what went wrong. In a general sense, St. Thomas Aquinas predicted the systemic freezing of the financial system that we witnessed when he predicted that in a society where unjust exchange transactions dominate, eventually all exchanges will cease.¹ We have seen that the traditional usury doctrine is aimed at identifying and restricting

¹ See Thomas Aquinas, *Commentary on the Nicomachean Ethics*, bk. 5, lect. 9, p. 423, trans. C. I. Litzinger (Henry Regnery Co., 1964) (ca. 1271) (arguing that without just exchange, no exchange will happen and that exchange is needed for society).